S&P Capital IQ

CONTENTS

CALL PARTICIPANTS 2
PRESENTATION 3
QUESTION AND ANSWER 7

Grupo Bimbo, S.A.B. de C.V. BMV:BIMBO A

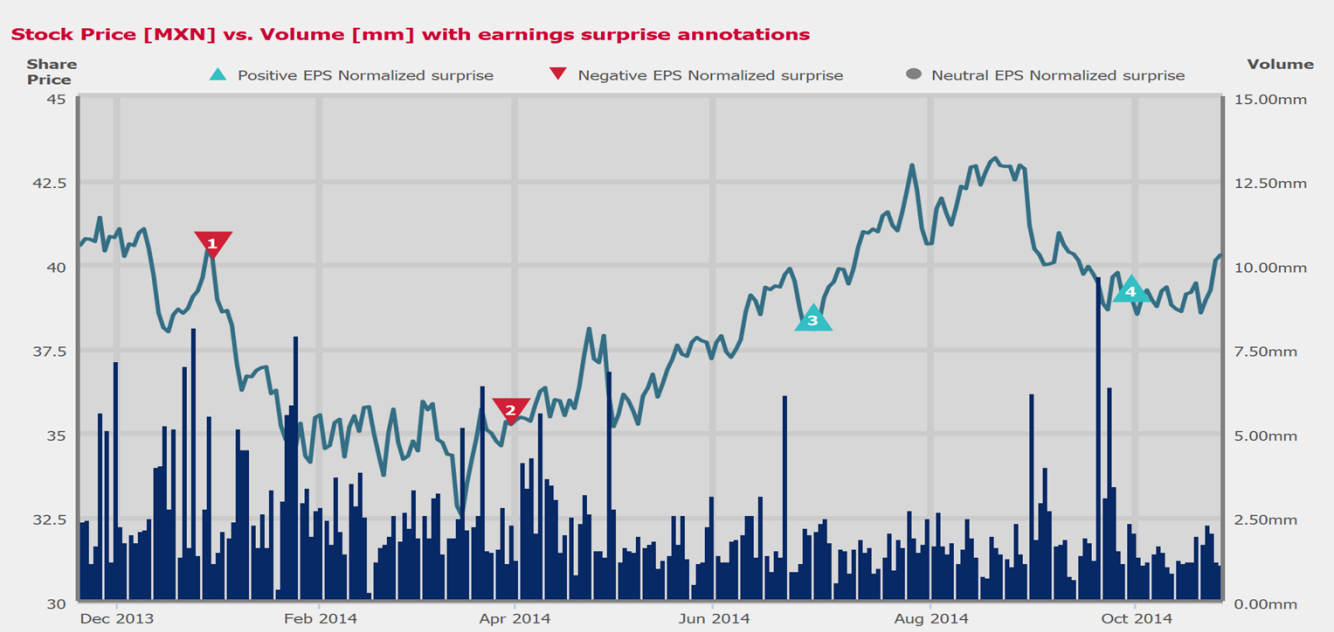
FQ4 2014 Earnings Call Transcripts

Friday, February 27, 2015 4:00 PM GMT

S&P Capital IQ Estimates

	-FQ4 2014-			-FQ1 2015-	-FY 2014-		
	CONSENSUS	ACTUAL	SURPRISE	CONSENSUS	CONSENSUS	ACTUAL	
EPS Normalized	0.38	0.52	▲36.84	0.23	1.28	1.07	
Revenue (mm)	52147.72	51122.00	▼(1.97 %)	48806.19	190984.51	187051.00	

Currency: MXN
Consensus as of Feb-27-2015 9:25 AM GMT



- EPS NORMALIZED -

	CONSENSUS	ACTUAL	SURPRISE
FQ4 2013	0.32	0.27	1 ▼(18.18 %)
FQ1 2014	0.16	0.11	2 ▼(31.25 %)
FQ2 2014	0.26	0.34	3 ▲25.93 %
FQ3 2014	0.38	0.41	4 ▲7.89 %

COPYRIGHT © 2017, S&P CAPITAL IQ, A PART OF MCGRAW HILL FINANCIAL.

Call Participants

EXECUTIVES

Alfred Penny
President of Bimbo Bakeries USA Inc

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Don Roberto Servitje

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

Steve Mollick

ANALYSTS

Akshay S. Jagdale
KeyBanc Capital Markets Inc., Research Division

Alexander Reid Robarts
Citigroup Inc, Research Division

Brian Flores
Interacciones Casa de Bolsa, S.A. de C.V., Research Division

Dong Uk Shin
Banco BTG Pactual S.A., Research Division

Fernando Ferreira
BofA Merrill Lynch, Research Division

Jose De La Luz Lopez
Barclays PLC, Research Division

Lauren Elaine Torres
UBS Investment Bank, Research Division

Lillian Starke
Morgan Stanley, Research Division

Luca Cipiccia
Goldman Sachs Group Inc., Research Division

Miguel Mayorga Tena
GBM Grupo Bursátil Mexicano, S.A. de C.V. Casa de Bolsa, Research Division

Pedro Leduc
JP Morgan Chase & Co, Research Division

Unknown Analyst

Copyright © 2017 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

Presentation

Operator

Good morning, everyone, and welcome to Grupo Bimbo's Fourth Quarter and Full Year 2014 Results Conference Call. If you need a copy of the press release issued yesterday, it is available on the company's website at www.grupobimbo.com.

Before we begin, I would like to remind you that this call is being recorded and that information discussed today may include forward-looking statements regarding the company's financial and operating performance. All projections are subject to risks and uncertainties, and actual results may differ materially. Please refer to the detailed note at the company's press release regarding forward-looking statements.

I will now turn the call over to Mr. Daniel Servitje, Chairman and Chief Executive Officer of Grupo Bimbo. Please go ahead

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Good morning, everyone, and thank you for joining us. I'm here with our CFO, Guillermo Quiroz; Fred Penny, our BBU President; and several members of our finance and management teams. As usual, we will begin with an overview of our performance during the quarter and some insights about what we're seeing in our markets. Then, we will be happy to take any questions you have at the end.

Let me start saying that from an operational viewpoint, our fourth quarter performance was solid, with an increase on the top line, notable improvements on the cost and expense side and continued progress on our key initiatives. Profit before other income and expenses increased 34% over the quarter. We now cover 22 countries and I find encouraging that, with the exception of the U.S. and our small business in Paraguay, the rest of the countries posted positive operating results.

I would like to put the fourth quarter in the context of 2014 as a whole, which was a pivotal year for Grupo Bimbo. First, in the United States, even though we went through a massive restructuring, we are not satisfied with our results. We have been investing in the right things to shape our company for the future and are poised to deliver long-term shareholder value. As we have communicated on prior calls, in 2014, we accelerated the integration efforts and our spending now on restructuring is winding down. We have substantially completed the 3-year integration of Sara Lee, a very complex effort which has taken place at a time of unprecedented change in the U.S. baking industry. We have had to drill deep down the business. The very granular effort, extremely meticulous restructuring and optimizing plan by plans, line by line and route by route all across the U.S. We shall bear in mind that we have closed 19 bakeries and restructured almost 1,500 routes. We combined 2 businesses into 1 much more solid and dynamic company whose broad national footprint and robust portfolio we are now starting to leverage. The focus for 2014 in the U.S. was to complete that process and then 2015, begin to truly unlock the potential of the new entity to everything from integrated systems to renewed and reconfigured asset base and a restructured and optimized distribution network. We did this at a time when the competitive dynamics were particularly challenging on top of a weak construction environment and the consequent drop of volumes. We saw a high single-digit decline in our private label business as well. While there will be ongoing efforts and some investment to continue to improve our U.S. business, I'm confident that we are on solid footing and well-positioned to deliver profitable growth going forward. Other highlights this year, of course, are the acquisitions of Canada Bread, Supan in Ecuador and more recently, Saputo Bakery in Canada which actually closed in 2015. These all bring strong brands that enhance our portfolio, expand our commercial reach and technical knowledge and more importantly, diversify and strengthen our footprint in the Americas. Grupo Bimbo is now a more balanced and diversified company in terms of geographies, cash flows and product portfolio. The diversity of our portfolio was particularly relevant this year. For example, in the U.S., while the bread category faced strong competitive pressure, the sweet baked goods and breakfast lines did well. In fact, with some brands growing at double-digit rates. We strive to have a baking portfolio that includes options for every consumer and for every -- and for any meal or occasion.

Copyright © 2017 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

Furthermore, this was an important year for our health and wellness initiatives. We launched numerous better-for-you and functional products across our 22 markets. The health and wellness segment of the food industry is growing rapidly and we are in it to win on the baked good side and its adjacent categories. Everything from whole grains, natural ingredients and high-fiber to low-fat and less sodium and sugar. It's about new formulas, fewer ingredients and alternative portion size, all leveraging our brand equity. Our portfolio innovations started its transformations in this sense, and we're in an important milestone towards a bright future in this huge market. The key thing to point out is that our R&D is highly localized, technologies, trends, guidelines and new products benefit from our global scale and cross market know-how. But local flavors and preferences and obviously, local marketing and advertising are critical to meeting the unique needs of our customers and consumers in all the markets we operate. Local flavor is critical not just for product mix but also for quality and presence. And in 2014, we made major inroads on our distribution network and market penetration efforts with the aim of bringing more fresh products to more people and doing so more efficiently. This took different forms in our various markets. In Latin America, for example, we focused on the traditional channel, adding new points of sale in the years, while in the U.S., we were able to improve and tune up the distribution system.

So where does that put us for the year? Top line growth of more than 7%, gross profit expansion of 8.5% and an almost 7% rise in EBITDA. Having painted that picture for the year as a whole, let's look at the fourth quarter specifically on a region-by-region basis.

In Mexico, consumption remained weak through much of the period with continued pressure on volumes. We were able to recover some ground at year end with good performance in categories like bread, buns and cakes which benefited from special marketing campaigns, better execution at the point-of-sale on product and packaging innovations. However, overall volumes in Mexico were off 4% from 2013. On the operating side, despite the impact of FX on raw material cost, we actually saw a solid 1.8 percentage point improvement in the margin as a result of our expense controls and lower distribution costs.

Moving on to the U.S. and Canada. Sales rose more than 21% in peso terms on the back of the Canada Bread acquisition and the benefit of FX rates. Weak consumption and the tough competitive environment, especially in the mainstream and private label bread segments that we already mentioned, placed downward pressure on volumes although we were able to maintain our market share. The bright spots, once again, were the breakfast and sweet baked goods categories where Little Bites and the Bimbo Marinela brands are doing very well.

I already touched on the ongoing transformation process which brought higher restructuring cost versus the year-ago quarter. In fact, 2014 was a big investment year for restructuring expenses. One of the benefits of this process, however, is that we actually generated more than $130 million in savings from these initiatives.

Continuing on to Latin America. I'm pleased to report stronger sales across all the entire region, driven by our market penetration efforts and product innovations. We also benefited from lower average raw material cost which helped the region swing from an operating loss in the year-ago period to a 1.2% operating margin this quarter, bringing the year to breakeven. I should point out that the restructuring process remains on track in Brazil where increased market penetration, new processes and cost reduction initiatives and product innovation are helping drive the turnaround, with notable performance in the buns, tortillas and toasted bread segments.

Lastly, in Europe, along with the addition of the U.K. business, we are pleased with the continuous progress in Iberia where performance reflects our efforts on both the manufacturing and the distribution sides. On the commercial side, innovation was the driver for growth with the breads, sweet baked goods, snacks and cakes categories all performing. Notably, our Oroweat and thins brands. These developments enabled us to cut our operating losses by almost 80% in the period. Before I share with you our outlook for 2015, let me hand the call over to Guillermo at this point to cover some of the financial matters from the quarter.

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

Copyright © 2017 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

Thank you, Daniel. Hello, everyone. Well, there are a few relevant issues on both our balance sheet and our P&L that I would like to touch on. Let's start with the charges both during the fourth quarter which includes a noncash charge related to MEPPs or multiemployer pension plans and a wide array of some extraordinary and nonrecurring items, including the structuring and integration-related expenses primarily in the U.S.

The bulk of this charge, $136 million or MXN 1.9 billion, is the effect of the decline of the dollar interest rate on the balance sheet provision related to MEPPs. Interest rates by the end of 2014 were close to historic lows,reducing discount rate -- our discount rate by approximately 120 basis points which, of course, increased the present value of the provision. Therefore, we needed to recognize the delta on our income statement. Keep in mind however, that whenever interest rates rise, we will see the opposite effect in our P&L as well.

Now in terms of our balance sheet, the company's indebtedness reflects an increase of more than MXN 21 billion, resulting from 2 different events. First, the funding of the Canada Bread; and second, the impact of a higher peso-dollar rate at year end that increased the peso value of our financial liabilities by an amount of slightly over MXN 4 billion -- MXN 5 billion.

Please bear in mind that any impact derived from swings in FX rates does not affect our P&L since all our financial liabilities are totally associated with and tied to the group's investments in the U.S. and Canada, creating a natural and effective hedge. As a matter of fact, the company's acquisitions during the last 6 years have been the sole driver of all of our fundraising activities and have shaped our current leverage. Current leverage at the end of the quarter reflected these increases, posting a pro forma 3.2 debt-to-EBITDA ratio compared to 2.3 last year and 3.1 in the previous quarter. While this current level is certainly manageable, we will of course, take our usual disciplined approach to cash management and investment grants in order to deliver to our target range. It is important also to bear in mind that the amortization profile of our financial obligation has indeed offered [ph] a very long run in accordance with both the company's cash flow generation and the long-lived assets funding. During [ph] average life of financial debt is very close to 9 years.

Lastly, I want to add a comment on taxes. Our effective rate was 42.5%. That is almost 5 percentage points higher than the one in 2013. Obviously, this has an impact on our net results and is mainly due to 3 reasons: a decrease in the deductibility of fringe benefits in Mexico; a higher taxable base due to inflationary gains related to our financial debt; and lastly, the fact that we are no longer carrying deferred income tax benefits in Brazil. This will conclude my comments this morning. So I will give back to you, Daniel.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board
Thank you, Guillermo. Looking ahead at 2015, there are a few key things that shape our outlook. Most analysts expect consumption in Mexico to remain sluggish at least with the first half of the year, so we will be relying on targeted marketing and point-of-sale initiatives as well as new product launches to drive volumes. That said, we are starting to see a more -- to see more traction in the market which is encouraging. In the U.S., we see solid improvements for 2015. From the macro perspective, the economy is better in terms of unemployment and potential GDP growth benefiting the consumer. We have laid out plans to revamp trade marketing initiatives to curb inefficient rate spending, combine that with new product launches, line extensions and seasonal specialties and various initiatives to truly leverage the Sara Lee brand. We'll also be focused on growing our premium categories and transforming the mainstream bread and buns businesses into a more efficient and profitable operation. Naturally, we will continue to focus on reducing the asset base and evolve to a leaner go-to-market business with new capabilities and targeted marketing investments. We already announced 2 more plant closures last month, so the asset base transformation continues. The restructuring of the business in 2015 will focus on trade promotion and innovation to increase profitability as well as in-store execution. In Latin America, we will be going after growth by expanding local distribution and a more robust portfolio while continuing to optimize manufacturing there as well. And lastly, we expect the Iberian turnaround to remain on track. We are, therefore, optimistic in terms of top line growth and marketing improvement for the year. Our CapEx budget is on the order of $650 million, and we will be focused on growing what we call our share of

Copyright © 2017 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

stomach market penetration expansion of adjacent categories like frozen baking as well as continue to build on one of our core competitive advantages, our extensive distribution network in order to be where our consumers are and fulfill our vision of being the best baking company. In closing, I want to leave you with this. We are excited and positive about the path ahead. I look forward to sharing our progress with you in the coming quarters. At this point, I have concluded my remarks. So we're ready for the question-and-answer session.

Copyright © 2017 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

Question and Answer

Operator

[Operator Instructions] Our first question comes from Lauren Torres at UBS.

Lauren Elaine Torres
UBS Investment Bank, Research Division

I appreciate your comments with respect to your outlook for this year, but I was wondering what gives you some good visibility that the first half of Mexico should be sluggish but expecting a recovery in the second half? I mean, it'd be interesting to just get your thoughts on that as far as where you see that improvement coming from. And also on Mexico, seeing the price increases that you had to take last year, is there room for pricing this year? And I guess the last part of that question just also relates to the U.S. and pricing objectives, because I assume the environment still remains competitive. So if the U.S. is generally improving but the market's competitive and once again on the pricing side, do you see opportunities there?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Well, let me tell you that on the volume side, we're starting to see, as I mentioned, a positive recovery in most of our lines in Mexico in this part of the year and at the end of December. So we're not still sure that this is sort of a solid trend, but we're encouraged by what we have seen. And we're close to the market, as you know, with our D&E [ph] systems, we have the pulse of what's going on everywhere in Mexico or in most of our markets on a very daily basis. So that's the way we're seeing the start of the year. We expect that sort of as things evolve, the volume flow rate of our business in the -- I would say not only the second quarter, the second semester but even a little bit earlier could tell us if this is going to be a recovery that is grounded on solid footing. On the pricing part, we have been able to adjust on specific products, our prices. It's a very small increment of around 1% or 2%, but that's what we're starting to see the year with. As you know, we have also been hit by the impact of FX in our commodities and our imported supplies, so that's why we're also adjusting our prices when necessary. On the U.S. side, Fred is here with us. I would like for him to take that question.

Alfred Penny
President of Bimbo Bakeries USA Inc

Yes, thanks, Daniel. Yes, relative to, I guess, price in the U.S., I do believe there's some more stability in the market now that the former Hostess brands have kind of fully reentered. We're evaluating and I believe there are some opportunities for some selective pricing, but really more importantly than that and I mentioned this in our last call, we're really focused, I'd say laser-focused at this point, on optimizing our trade spend efficiency. Daniel made reference to it. It is a competitive category, it's a relatively heavily promoted category and I believe for us, at any rate, that's where the work is. And I'm optimistic about that work.

Lauren Elaine Torres
UBS Investment Bank, Research Division

That's helpful, Fred. And is there any way to quantify that on the trade spend side? Or just to understand the magnitude of what the benefit could be?

Alfred Penny
President of Bimbo Bakeries USA Inc

No, I don't believe we're prepared to give guidance on that yet. No.

Operator

The next question comes from Isabella Minauhiw [ph] of Bank of America.

Copyright © 2017 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

Unknown Analyst

So I have 2 questions. First, on the U.S., if you guys could comment and give more expectations of how much restructuring cost should go down and how fast that should be throughout 2015. So therefore, what sort of margin expansion are we looking for, for this year in the U.S? And also, what are your plans to overcome this more competitive environment in the U.S?

Alfred Penny
President of Bimbo Bakeries USA Inc

It's Fred, let me take the restructuring question. We expect our restructuring charges to drop by more than 1/2 based on the visibility we have today. And so it will be significant. The work is winding down. Having said that, we're obviously going to continue to look for opportunities to further lower our costs and continually evaluate not only the asset base but the overall supply chain cost. But the reduction will be significant in 2015. And your second question, if you could repeat it, please?

Unknown Analyst

It's a good [indiscernible] more, what are your strategies to overcome the strong competition which has been affecting your volumes, especially in the U.S.?

Alfred Penny
President of Bimbo Bakeries USA Inc

Let me put some color on that. A good piece of the volume drag that we saw in 2014 was in private label which -- where we are the private label provider. Because the branded environment was competitive with the brands reentering, I expect that, that's going to stabilize a bit, so that will help us. On the branded side, we're going to work to optimize our portfolio which will help, but also to bring innovation to the category, we've got a number of new product launches planned and hopefully, those will help us get some top line growth as well.

Operator

The next question comes from Fernando Ferreira at Bank of America.

Fernando Ferreira
BofA Merrill Lynch, Research Division

Just had a follow-up on this health and wellness topic which seemed very important on the recent CAGNY conference last week. So what percentage of your portfolio today do you consider as being good for you in the U.S.? And are you at all concerned with the gluten-free trend? Is that having an effect as well on sales?

Alfred Penny
President of Bimbo Bakeries USA Inc

It's Fred again. I'm not sure I can give you a percentage. We'd have to go back and we can do that as a follow-up. I think it's a fairly significant portion. I believe a fairly significant portion of our portfolio plays in health and wellness, certainly on the bread side and on the breakfast side. Gluten-free is an interesting question. There's still a lot of, I would say, momentum growth in overall in gluten-free, less so in the bread category. The bigger challenge, I think, is that there is some pressure on bread consumption from people who are perceiving gluten-free as a diet which it is not, as you know. But there are lots of opportunities. Daniel made the point to take advantage of the health and wellness trends whether it be whole grains, reduced fat, low-sodium, et cetera. And we play in those spaces and we'll continue to look for opportunities to bring products to market that address those consumer needs.

Operator

The next question comes from Brian Flores at Interacciones.

Brian Flores

Copyright © 2017 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

Interacciones Casa de Bolsa, S.A. de C.V., Research Division

I just wanted to give a quick follow-up on the pensions. So do you expect when interest rates go up, if they do this year, if I got correct from your comments, do you expect the trend that we saw to reverse? Or do you expect lower returns available for the coming year?

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

This is Guillermo Quiroz. Basically, the answer is we don't know. What I know is that the sensitivity of the present value of our provision is related to the level of interest rate. So it's -- I personally think that it had to -- to think that the interest -- the level of interest rate will go lower. And I think there's good possibility that someone, nobody knows when, they are going to go up. And so automatically, when that happens, the present value of the future obligation is going to come down and then that will imply an immediate reduction on the level of provisions. So let me make another additional comment. According to IFRS rules, all these -- as you can see, all these charges or movements are very volatile. According to IFRS rules, those changes are not included in the P&L but in -- or directly in other comprehensive income in net worth. So the question is why we are introducing P&L [ph]? Because in the case of MEPPs, the amount of the precision of the information needed to consider these plans as private plans is not met because, as you know, the information coming from MEPPs is not up-to-date, precise, so that we are forced by also, IFRS principles to take it plus or minus directly in the P&L. I don't know if I answered your question.

Brian Flores
Interacciones Casa de Bolsa, S.A. de C.V., Research Division

Yes, that is great.

Operator

Your next question comes from Glenn Lopez [ph] at BTG.

Unknown Analyst

Can you comment on your margin expectations for each of the regions for 2015?

Don Roberto Servitje

Well, we usually -- this is Roberto. We usually don't give that kind of guidance, we certainly -- and we will keep it this way. We certainly expect an improvement, but we rather not disclose each margin per region, expectation or guidance for each region. But we can get through Marcos [ph] or Stephanie [ph] and Diego [ph] to you and discuss any -- the main drivers of the improvement, if you will.

Operator

[Operator Instructions] Our next question comes from Luca Cipiccia at Goldman Sachs.

Luca Cipiccia
Goldman Sachs Group Inc., Research Division

A follow-up on Mexico. Maybe your comments about the recent improvements, some positive signals, just to quantify whether you think that volume growth can return to positive this year or maybe if the year has started with a positive sign already, just to put in the context of the more optimistic signals that you're seeing. And then secondly, on the health and wellness question or debate. Before, I'm trying to understand if when we think about this category or this space in the U.S., also acquisitions, to enter new categories not just greenfield or things that you can do internally would also be considered will make sense as we think about this developing going forward.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Copyright © 2017 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

Yes, we're seeing positive growth from the start of the year. I would say, in most of our categories. There's still some snack categories that are a bit behind from last year. But all in all, we are starting with the right foot on volume versus last year and we expect that the year will end on positive volumes versus 2014. I don't know if that was all the questions that you had or I missed something.

Luca Cipiccia
Goldman Sachs Group Inc., Research Division

No, no. Essentially, it was that. I was trying to understand if it was a sequential improvement or is that, in fact the -- you're seeing positive growth for volume for now, and that's what you expect for the year.

And then the second one was on potential acquisition now to expand participation [indiscernible] in those categories in the U.S. in addition to organic initiatives.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Well, I would say that we're always open to new opportunities, and we will consider them in the light of our financial structure and our objectives for the long term. So we're always open to looking at opportunities.

Luca Cipiccia
Goldman Sachs Group Inc., Research Division

And my point was, I guess, it looks as if you've been doing acquisition largely to expand scale. I was wondering whether we should see maybe a bit of a switch on moves that are more strategic to gap portfolio segments that may be more attractive to regenerate some growth as well in addition to maybe leverage a bigger footprint or scale efficiencies or sort of more of a larger base to optimize your cost structure.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Yes. That's a fair question, Luca. I would say that it depends market by market. And in some cases, we're doing that when we find the opportunities or the right opportunity. In Mexico, a few years back, we acquired a very small brand called SANISSIMO and that was a niche brand with high potential on the health and wellness side. And we're expanding this not only in Mexico but in other markets as well. In other places where we feel that we need to have a better drop sites [ph] in our distribution footprint or to get synergies, we will go for sort of more mainstream opportunities like the one that we had with the Saputo acquisition. So it's -- I would say it's not a direction for the whole company as a whole. We'll be looking at these on a market-by-market basis.

Operator

The next question comes from Lillian Starke at Morgan Stanley.

Lillian Starke
Morgan Stanley, Research Division

I have 3 questions. The first one is, even if we adjust for the restructuring expense that you had in the U.S, we noted that profitability came down significantly versus what you had achieved last quarter despite having acquired or reflecting the acquisition of Canada Bread. So if you could shed some color on what drove that decline profitability in the U.S. beyond this restructuring expense. My second question is in the health and wellness trend, we've seen that, that is much stronger in the U.S. and that's probably -- that you find a more attractive market in the U.S. than Mexico. But if you could comment a bit on whether you've seen a change in the health and wellness interest in the Mexican market or that's mostly reserved for the U.S. And then finally, my third question is on the improvement in profitability in Mexico, whether that was something driven by cost efficiencies that you achieved throughout the year as you saw lower volumes and a more difficult environment, or whether it was more related to lower raw materials.

Copyright © 2017 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

Steve Mollick

Lillian, this is Steve Mollick. I can help with the first question. Relative to the sequential margin rate quarter-on-quarter, as we go into -- the fourth quarter typically is a lower quarter for us on a margin rate basis, so there is some seasonality. And as you normalize for the restructuring charges, our margins were up year-over-year.

Lillian Starke
Morgan Stanley, Research Division

Okay, perfect. And then on the other 2 questions on the health and wellness in Mexico and also profitability in Mexico?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Would you repeat the questions again? Sorry, Lillian. [indiscernible]

Lillian Starke
Morgan Stanley, Research Division

Yes, of course. The second question was whether you've seen an improvement in -- I mean, the health and wellness trends, that's something that has been strong in the U.S. but whether -- if it's something that you've seen sort of spark up in the Mexican market as well. And then the other question was on profitability in Mexico, the improvement on the margin, whether that came mostly from efficiencies that you've achieved throughout the year or whether it was mostly related to low raw materials.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Yes. Well, on the first part, I will tell you that there's more awareness certainly, on all fronts. We're doing a lot of efforts on the current portfolio that we have to make it better than -- on many fronts, reducing sugar, reducing salt, increasing fiber in some products, and that's our main focus. There are some specialties. There's more awareness I would say, and a growth in the smaller markets in Mexico. It's not mainstream, but we're also coming with very nice launches on the bread category to try to capture as much potential as there is room for in Mexico. And on the other part of the margin expansion in Mexico, it's twofold. On one hand, yes, that we had a benefit on the raw material side, but we had also an increase in costs related to the basics of the wheat imports in a large part of the year, basically all the year. And in the latter part of the year also, we had an increase in our commodity costs related to the peso devaluation against the U.S. So I will tell you that it helped us but mostly, we were helped by our cost restructuring efforts and streamlining the whole value chain of the Mexican operations.

Operator

Next question comes from Miguel Mayorga at GMB -- GBM.

Miguel Mayorga Tena
GBM Grupo Bursátil Mexicano, S.A. de C.V. Casa de Bolsa, Research Division

My question relates to the upfront liability regarding the BBU MEPPs. If I'm correct, current liability amount is around USD 1 billion, and I would like to understand the volatility of this year [ph] on the long run. Could we be expecting that to become decreased or increased related to any change in the interest rates or which are the variables that should we be looking at?

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

Steve, can you take that, please?

Steve Mollick

Copyright © 2017 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

Sure. Specific to the MEPPs in the U.S., we participate in 34 MEPPs. The liability, the withdrawal liability has been stable and we've reserved, based on Guillermo's comments, we've reserved about 50% of the overall contingent withdrawal liability. I can't speculate as to what the future liability movements will be, but I can say that they've been stable over the last few quarters. And we're taking a proactive stance in really trying to fix those liabilities for Grupo Bimbo so that we have a long-term view. We're going to fix those liabilities and have them be known and that's what the reserve is for.

Operator

The next question comes from Alex Robarts at Citi.

Alexander Reid Robarts
Citigroup Inc, Research Division

I want to go to 2 particular markets that are of interest to us. Looking to Canada this year, it will be the first full year that you operate there, 2 acquisitions last year. How are you feeling about the progress in the integration? This is the higher-margin business of the 2 countries in North America and if you could talk to -- you kind of give yourself a report card as to how you've done at this point, are you headed where you like to be? Where and why? And particularly, kind of the growth outlook of the industry of Canada for breads would be the first question. And then I have a second one on Brazil, but just wanted to start on Canada.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Thank you, Alex. Well, yes, we're still in our first year integration into Canada. I think that we've made a lot of progress on many fronts of the integration phase. We have an ERP change during the second to third quarter of the year and we're geared towards that very important milestone. We have also assessed the company in terms of the opportunities in all areas of the manufacturing, distribution and administration side, and we're working towards that plan. All in all, I would say that volumes are soft on the bread side. There was a loss of a larger account that we had, the Shoppers Drug chain that went into the Weston business due to the purchase of that chain by Loblaw. So that was a major hit that we will be basically lapping out in the latter part of the year. But we're reflecting that loss now and we will be reflecting also the closure of the Target business in Canada where we had a major part of the shelf space. Besides that, we're seeing growth in other parts of the business and we're expanding on some of the lines where we had some capacity constraints. I'm very optimistic about the Canadian opportunity and we -- I believe it will help us not only in the financial sense but also as a very strategic partner among the U.S. and the Canadian borders as well. So that would be my take on the Canadian question.

Alexander Reid Robarts
Citigroup Inc, Research Division

Very helpful. And the synergy numbers that you've given to us, kind of the multiyear number, I guess around $20 million in Canada, still intact? I mean, is that still a range or how should we think about the potential synergies there in Canada going forward?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Yes. So we aim for higher numbers, but it's going to be on a 2-year phase or 2-, 3-year phase, so that's our goal.

Alexander Reid Robarts
Citigroup Inc, Research Division

Okay, okay. Second question on Brazil. It's the lion's share of the LATAM business. It seems that margins in LATAM this year can practically double as you've done a lot of heavy lifting in that initial phases of transforming or, I should say, restructuring Brazil. As you look into this year in Brazil, you mentioned that you're still in the process of restructuring. How much further work is there to be done? Is it more on the execution go-to-market phase? Are there some cost opportunities? I guess, where I'm getting at is can we

Copyright © 2017 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

think of LATAM as a business that gets close to a double-digit margin? Or is it perhaps more reasonable to think that over the medium term, the LATAM business gets up into kind of high single digits? So any color around Brazil would be helpful.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Well, we still see a lot of improvement in the whole region, and if you look on a more gradual -- granular basis, there are a lot of countries where we have already double-digit EBITDA margins. Having said that, we are still investing in all the countries where we see growth potential and are investing heavily in those that have opportunities for capacity expansion and to further penetrating with our distribution network to lower levels of the mom & pop trade. So that's going to be a long-term effort, and I would say that as countries mature in some of the regions, we expect to get those double-digit EBITDA numbers. The region in itself, as you all know, it's a very complex region where you have instability and crisis in some countries, and we don't see that diminishing. It's part of the life of the region, and we're comfortable doing business here. Specifically, Brazil has done tremendous progress, but it's not to the point where we like it, and we will continue to do work on this turnaround project this year on all fronts. We recently closed one small, inefficient bakery, and that is just one of the many initiatives that we have there to improve our numbers. So even with some of the lower-growth mode that the region had last year and not necessarily the better one this year, I'm optimistic of our improvement as a whole in Latin America.

Operator

Your next question comes from Akshay Jagdale at Key.

Akshay S. Jagdale
KeyBanc Capital Markets Inc., Research Division

My question's on the U.S. Business, I have a couple. So first one is I'm a little bit confused on the 2014 performance for your company. So I just wanted to -- if you look back, how would you sort of rate your performance in the form of -- it looks like the category was relatively weak; private label, you guys looked like you lost share in private label; and then you're talking about promotional ineffectiveness in brands. Can you give me a sense of sort of did you lose share in brand and private label, in your opinion, this past year? And that's my first question. So just some color on the category dynamics as you saw them.

Alfred Penny
President of Bimbo Bakeries USA Inc

Akshay, it's Fred. Let's see if I can shed some light on it. I guess the first thing I would say is overall, relative to BBU, I feel good about 2014, given all the competitive dynamics of the brands that were not in the market at all in 2013 coming back in, in 2014. And that's clearly a very big change, I mentioned that last time. In a flat category for brands to go away and then reenter, that's going to be disruptive. We held our overall share. Private label, in the category, private label volumes declined and we're a large participant as a private label provider. And that was a fairly significant drag on our top line. But on our branded basis, we held share. We did have to invest to be able to do that, and that's to my point of our focus on improving our promotional efficiency, our promotional effectiveness and improving, optimizing, if you will, the portfolio, the mainstream bread and bun portfolio. On the other side of the coin, our breakfast business, the Thomas brand was very, very strong and it continued to have good momentum. All of our sweet goods brands from Little Bites to Bimbo to Marinela to Sara Lee grew in 2014, and I expect that to continue. And so the makeup of the portfolio I think, was a plus for us last year. I hope that helps.

Akshay S. Jagdale
KeyBanc Capital Markets Inc., Research Division

That's very helpful. So when you look at a private label sort of losing share, is that just consumers that had gone away from Hostess that traded down to private label and now, some of them are moving back? Is that generally how you would view it or is there something else going on there?

Alfred Penny

Copyright © 2017 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

President of Bimbo Bakeries USA Inc

No, I think you're right. That's certainly a good portion of what happened.

Akshay S. Jagdale
KeyBanc Capital Markets Inc., Research Division

Okay. And I know you're not wanting to give any numbers out on promotional effectiveness but in the food industry in general, that's been a buzzword for a while. What does that mean? Can you give us some color on what you're trying to achieve there? I mean, what is the end result of that, that you're trying to achieve? Does that mean if you're successful, you'll see sales growth and gross margin expansion? Or how should we think about it? And if you can give us some examples of what you're doing to get that done, that would be helpful.

Alfred Penny
President of Bimbo Bakeries USA Inc

Well, the objective is to make our promotional dollars work harder for us and have a -- deliver a better return. And without getting into too much detail, I would tell you that we're looking at frequency and depth of promotions and we're looking at -- and I mentioned this last time, the complexity of the portfolio that we've acquired through these acquisitions over the years is something that we're very, very focused on to try to streamline and simplify the portfolio which is going to help us in terms of being more effective and efficient on our promotions.

Akshay S. Jagdale
KeyBanc Capital Markets Inc., Research Division

Just one last one. Again, if you could just give a look back at the Sara Lee acquisition, where are you in the long-term runway on that business? There was obviously plant closures, CapEx, and it seems like you've done a lot of heavy lifting there. You haven't really talked specifically about the route structure, but how would you characterize where you are in that journey overall?

Alfred Penny
President of Bimbo Bakeries USA Inc

And Daniel mentioned some of this earlier in his comments. I'm glad you said heavy lifting because I'll first make the point that the organization and everyone and all of our associates deserve an awful lot of recognition and credit because it has been an incredible amount of heavy lifting. We've closed 18 bakeries, we've built 2 new bakeries, we've reduced our total route count by something approaching 17% which actually doesn't reflect the amount of work because we've literally touched or restructured thousands and thousands of routes across the entire U.S., and we've reduced our total associate base. All of which is difficult work and I'm not so sure that there's a precedent for that level of work in other acquisitions, certainly not that I'm aware of. We lost some time, quite frankly, in 2013 with the liquidation of a very large bakery with over 20 bakeries, Hostess, because we simply had to respond to the market needs of literally overnight, that company going away and having to serve customers and pick up the business. We picked up the pace in 2014 and made a lot of progress, I believe, in the restructure. And we're largely -- we are now at a point where it's going to be winding down. Having said that, and I mentioned this earlier, we're going to continue to look for opportunities to take our costs down further, and that's something we continuously do, but we are winding down the restructure. And I think we're in a good place, given the magnitude of the work that had to be done.

Operator

Your next question comes from Rafael Shin at BTG.

Dong Uk Shin
Banco BTG Pactual S.A., Research Division

Copyright © 2017 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

Just a quick question on the offering you put on hold last year. Can you give us a little bit of an update on that? How are you thinking about it? Is there a specific price where you could come back again with the offering?

Don Roberto Servitje

This is Roberto again. Listen, well, you know exactly what happened, that we tried to make the offer and then markets react, for other reasons, very negatively and we decided not to pursue it anymore. By the way, the authorization by the shareholder meeting was due on December 19. But what is on our minds? The idea is still in the table. We don't have any rush. We won't rush into a process like that. We have another thing to prioritize in our minds but the idea is still on the table. We are not currently active aside meeting with many investors, with many colleagues of yours and many analysts. But it's something that eventually might come, and we will be -- do our best to do it, with markets permitting, on the best terms for our current shareholders. And that's pretty much the idea there. What I cannot -- we cannot say about any date. It won't be tomorrow, that's what I can tell you.

Operator

The next question comes from Pedro Leduc at JPMorgan.

Pedro Leduc
JP Morgan Chase & Co, Research Division

On the prepared remarks, first one would be regarding Mexico's 4Q gross margins. I was a bit surprised to see the slide from the same levels last year. Just wanted to hear your thoughts a little bit about this, it was related to actual production cost or at the end pricing level, and to that, how the retail channels that you serve are behaving. Have you foreseen any sort of a change maybe, as your earlier comments into this year? So this would be the first question. And the second one would be more regarding the capital structure. How are you seeing the year ahead? Where do you expect to end 2015 in terms of net debt-to-EBITDA?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Yes, Pedro. On the first one, let me tell you that the fourth quarter of 2013 was sort of an abnormal quarter due to a price increase we had in that quarter that basically, we got the benefit of the price increase throughout all the quarter. And then we also had this year, as I mentioned before, devaluation of the peso hitting us in the latter part of the year. So nothing else different from the whole year. Those were the specific quarterly issues, 2013 and 2014.

Pedro Leduc
JP Morgan Chase & Co, Research Division

Okay. No specific channel that's pressuring margins more that could be returning [ph]?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

No, no, no. I would say that as I mentioned in the prior calls, Pedro, the mom-and-pop trade was the one that was affected throughout the year the most. But as I mentioned before, we're starting to see that the growth now is on all channels.

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

On the second part, as mentioned before, we are not able to give you any specific guidance what -- as have been mentioned during the call, we were seeing that we do or we are expecting 2015 to be a better year than the one we had last year. So we are foreseeing a reduction in our leverage level. And the only thing that I would add is that it's a very high priority within the company and you should be -- or we'll be

Copyright © 2017 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

seeing a lower debt ratio for the end of the year, not because of the reduction of debt but because of the increase in EBITDA.

Pedro Leduc
JP Morgan Chase & Co, Research Division

Okay, so on cash flow terms, should be more or less neutral then, this year? More from an EBITDA perspective than lower leverage?

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

I'm sorry. Can you repeat that?

Pedro Leduc
JP Morgan Chase & Co, Research Division

For a cash flow perspective for 2015, should we expect a more neutral performance and the deleveraging to be more EBITDA-related?

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

No, no. We expect an increase in EBITDA and basically maintaining the level -- our level of debt, so that will produce a lower ratio.

Operator

The next question comes from Felipe Gusons [ph] At MUFG.

Unknown Analyst

Guillermo, a couple of questions on my side here as well, they're all kind of credit-oriented. Coming back on the earlier question on the IPO that you had planned late last year, can you just kind of refresh what the thinking was behind that initiative for the benefit of all the people that own your bonds? The way that I understood it, it was largely intended to reduce the debt as a result of the acquisitions over the last couple of years. So if you can just kind of confirm that, that would be great. The second question I had is from an M&A perspective. Obviously, you're very committed to your current credit ratings. Moody's still has a negative outlook at this moment on your Baa2, but just kind of if you could refresh also again, for the credit people on the call, kind of refresh your thinking as it relates to what your M&A objectives are? There was an article late last year, if I recall correctly, in one of the local newspapers here in New York where the Bimbo name was associated with the potential interest in Hostess. The way that I understand it, that's not the way that the company is thinking in terms of taking on additional debt. Can you kind of help us to get more comfort with that as well?

Don Roberto Servitje

Felipe, this is Roberto. Listen, I'll start with the intention related to the follow-on last year. It's very simple. We, for the last 15 years, one of our main policies is to keep 2 things: is a lot of financial flexibility for whatever may come and have a strong balance sheet, right?

Unknown Analyst

Yes.

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

And you know us very well because you have participated and we like term out everything, et cetera. And we have experienced the benefit of flexibility. But you have to act in order to obtain the flexibility. So last year, what was in our minds is that we know that there are some opportunities in the marketplace all across our geographies of different sizes, of different shapes and forms. So we appreciated that there was

Copyright © 2017 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

a window in the cookie [ph] market, a positive window. Certainly, that is a tailwind, so we decided to move in advance of any potential idea or any potential opportunity which, by the way, you don't get to choose when those opportunities can come up. And -- but suddenly, everything came -- everything changed and that window closed really, one way overnight, so -- and there was no need. We like to move in advance, you know us very well. And we don't like to go to the markets where we don't have an option. We like to go to markets where we do have alternatives. And it's a thought for further strengthening the balance sheet, therefore, giving us more flexibility for the good things, for the bad things, to temper any problems. So that's basically the philosophy here and that's pretty much related to the M&A question. And Daniel has mentioned this many times as well as Guillermo, and it's a day-to-day activity to be aware, in ordinary course of business here is to be aware of what's happening on the bakery industry all across the world. We are also starting something, but nothing that I -- there's nothing concrete or we're not particularly focused on any of our geographies. So that's pretty much just day-to-day business but nothing really relevant to report at this point.

Operator

Our last question comes from Jose De La Luz at Barclays.

Jose De La Luz Lopez
Barclays PLC, Research Division

Just a quick question on the effective tax rate. It seems to be a higher tax rate on the quarter. I was just wondering if you could give us some information on the reason behind the number or maybe some related to the credit taxes in Mexico. If you could give us some more color on that.

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

Yes. There are many reasons coming from many of our areas we operate in. But basically, I would mention these are the most important ones. First is that starting on 2014, the fringe benefits spend by Mexico, companies are only partially deductible, and that is something that, unless the law changes, if you want to stay with us. That was an important hit. And another thing is that as also mentioned before, we increased the amount of our debt last year basically for 2 reasons: the finance of the acquisition of Canada Bread and also the movement in the -- during the last month of the year with exchange rates. And according to Mexican law, remember that what we call a monetary gain which is basically the product of them, of the amount of debt you have multiply that inflation rate is accruable for tax purposes. So those were the 2 and as I mentioned before also, in Brazil, it has [ph] posted a loss and we are not considering positive deferred taxes for that. So basically, those are the reasons that, as I was saying, before the first one is going to stay. The second one, which is a leverage ratio, is going to stay for a while. And the Brazilian situation should be changed in the near -- in the years to come.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Well, thank you, all, for your time today. Please do not hesitate to contact us with any further comments or questions might have. And we look forward to speaking to you soon.

Operator
The conference has now concluded. Thank you for attending today's presentation. You may now disconnect.

Copyright © 2017 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.

The information in the transcripts ("Content") are provided for internal business purposes and should not be used to assemble or create a database. The Content is based on collection and policies governing audio to text conversion for readable "Transcript" content and all accompanying derived products that is proprietary to Capital IQ and its Third Party Content Providers.
The provision of the Content is without any obligation on the part of Capital IQ, Inc. or its third party content providers to review such or any liability or responsibility arising out of your use thereof. Capital IQ does not guarantee or make any representation or warranty, either express or implied, as to the accuracy, validity, timeliness, completeness or continued availability of any Content and shall not be liable for any errors, delays, or actions taken in reliance on information. The Content is not intended to provide tax, legal, insurance or investment advice, and nothing in the Content should be construed as an offer to sell, a solicitation of an offer to buy, or a recommendation for any security by Capital IQ or any third party. In addition, the Content speaks only as of the date issued and is based on conference calls that may contain projections of other forward-looking statements. You should not rely on the Content as expressing Capital IQ's opinion or as representing current information. Capital IQ has not undertaken, and do not undertake any duty to update the Content or otherwise advise you of changes in the Content.
THE CONTENT IS PROVIDED "AS IS" AND "AS AVAILABLE" WITHOUT WARRANTY OF ANY KIND. USE OF THE CONTENT IS AT THE USERS OWN RISK. IN NO EVENT SHALL CAPITAL IQ BE LIABLE FOR ANY DECISION MADE OR ACTION OR INACTION TAKEN IN RELIANCE ON ANY CONTENT, INCLUDING THIRD-PARTY CONTENT. CAPITAL IQ FURTHER EXPLICITLY DISCLAIMS, ANY WARRANTY OF ANY KIND, WHETHER EXPRESS OR IMPLIED, INCLUDING WARRANTIES OF MERCHANTABILITY, FITNESS FOR A PARTICULAR PURPOSE AND NON-INFRINGEMENT. CAPITAL IQ, SUPPLIERS OF THIRD-PARTY CONTENT AND ANY OTHER THIRD PARTY WORKING WITH CAPITAL IQ SHALL NOT BE RESPONSIBLE OR LIABLE, DIRECTLY OR INDIRECTLY, FOR ANY DAMAGES OR LOSS (INCLUDING DIRECT, INDIRECT, INCIDENTAL, CONSEQUENTIAL AND ANY AND ALL OTHER FORMS OF DAMAGES OR LOSSES REGARDLESS OF THE FORM OF THE ACTION OR THE BASIS OF THE CLAIM) CAUSED OR ALLEGED TO BE CAUSED IN CONNECTION WITH YOUR USE OF THE CONTENT WHETHER OR NOT FORESEEABLE, EVEN IF CAPITAL IQ OR ANY OF THE SUPPLIERS OF THIRD-PARTY CONTENT OR OTHER THIRD PARTIES WORKING WITH CAPITAL IQ IN CONNECTION WITH THE CONTENT HAS BEEN ADVISED OF THE POSSIBILITY OR LIKELIHOOD OF SUCH DAMAGES.
© 2017 Capital IQ, Inc.

Copyright © 2017 S&P Global Market Intelligence, a division of S&P Global Inc. All Rights reserved.